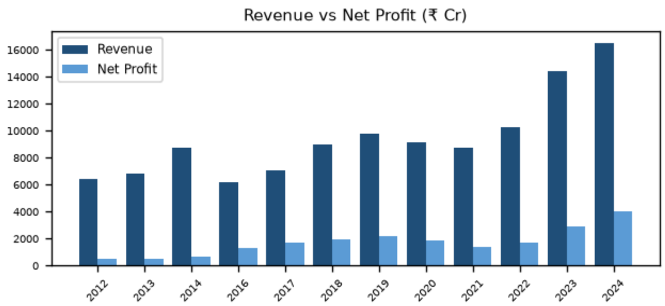
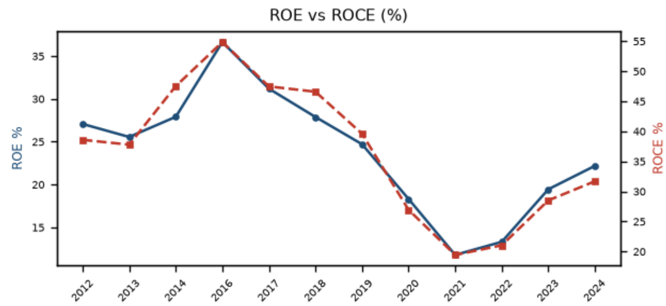
Eicher Motors Ltd (EICHERMOT)

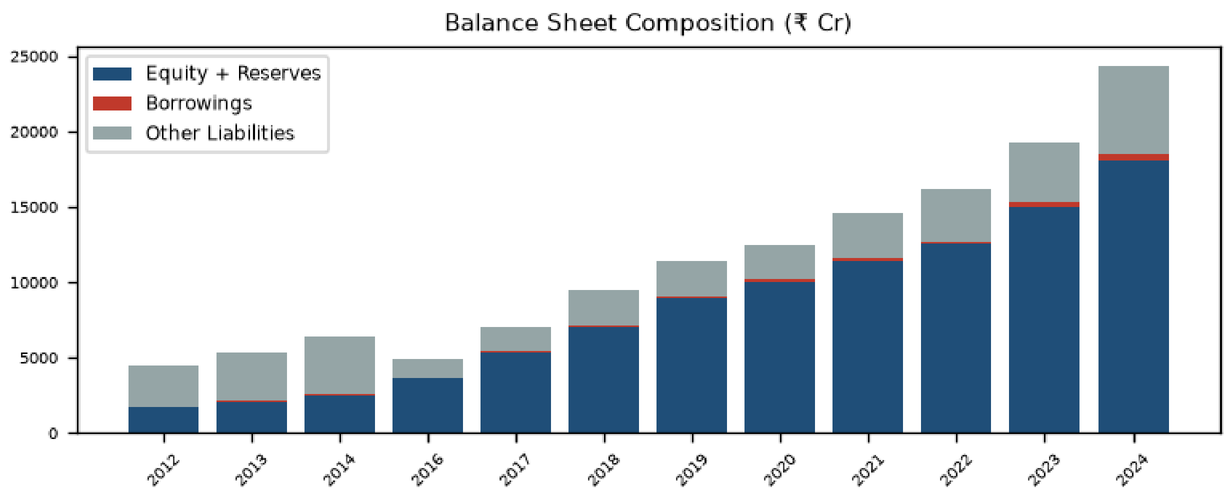
Consumer Discretionary — Two Wheelers

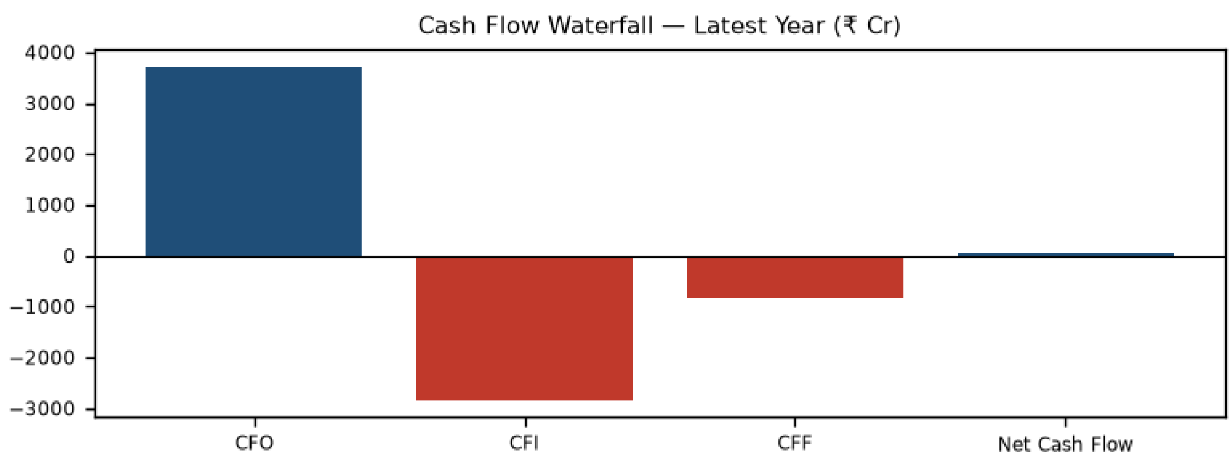
ROE	ROCE	Net Profit Margin
22.2%	31.7%	24.2%
D/E	**Revenue CAGR (5yr)**	**FCF (latest, Cr)**
0.0x	11.0%	890





Eicher Motors Ltd (EICHERMOT) — Balance Sheet & Cash Flow





Capital Allocation Pattern: Reinvestor

Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (85% confidence)
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (61% confidence)
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (100% confidence)
✓ Consistent dividend yield above 2% backed by positive free cash flow (72% confidence)
✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (62% confidence)
✓ Growing asset base funded by internal accruals reflects self-sustaining growth (65% confidence)

Cons

✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (70% confidence)